IN THE HIGH COURT OF JUDICATURE AT BOMBAY
CRIMINAL APPELLATE JURISDICTION

CRIMINAL WRIT PETITION NO. 1186 OF 2022

Narendra Harishchandra Shetty ...Petitioner

VERSUS

1. The State of Maharashtra ...Respondents
2. Sumitra Industries, through its Proprietor Mr. Hemant Gaikwad

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Mr. Chetan P. Nadkarni a/w Ms. Rina Lalwani for the Petitioner.
Ms. Savita Ghadge-Kamat, APP for Respondent No.1-State.
Mr. Alok J. Bhosle for Respondent No.2.

CORAM : R. S. KOLHATKAR, J.
DATE : 17th November 2022.

JUDGMENT:

1. Rule. Rule made returnable forthwith. With the consent of the learned counsel for the parties, the petition is taken up for final disposal.

2. By this petition under Article 226 of the Constitution of India read with Section 482 of the Code of Criminal Procedure, 1973 ("CrPC"), the petitioner challenges the order dated 09.03.2021 passed by the learned Metropolitan Magistrate, 23rd Court, Esplanade, Mumbai, issuing process on a complaint filed by Respondent No.2 under Section 138 of the Negotiable Instruments Act, 1881 ("NI Act").

3. Respondent No.2 supplied automobile components to the petitioner's concern. The last supply was made on 20.07.2015 and a balance of Rs.4,75,000/- remained unpaid. The petitioner issued a cheque dated 15.12.2018 for that amount, which was dishonoured on presentation. After service of the statutory notice and non-payment, the complaint was filed.

4. Mr. Nadkarni, learned counsel for the petitioner, submits that the debt became barred by limitation on 19.07.2018, i.e. before the cheque was drawn, and therefore the cheque was not issued for a legally enforceable debt. He would submit that in the absence of a separate signed promise under Section 25(3) of the Indian Contract Act, 1872, the complaint is not maintainable.

5. Mr. Bhosle, learned counsel for Respondent No.2, submits that the debt is not extinguished by lapse of time, that the cheque bears the signature of the petitioner, and that

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the cheque itself is the promise in writing which Section 25(3) contemplates.

6. I have considered the rival submissions. The only point is whether a complaint under Section 138 of the NI Act can proceed when the cheque has been drawn towards a time-barred debt.

7. Limitation bars the remedy, not the right. The debt continues to exist and a promise to pay it, if made in writing and signed by the debtor, is enforceable as a contract under Section 25(3) of the Indian Contract Act, 1872. Nothing in that provision demands any particular form of words or insists that the document must expressly recite that the debt is barred.

8. A cheque is a document in writing. It is signed by the drawer. It carries an unconditional undertaking that a specified sum will be paid on demand. A debtor who draws a cheque for the amount of a barred debt knows the state of his own accounts and is taken to intend the natural consequence of his act, namely that the creditor shall be paid.

9. In my view, a cheque drawn and signed by the debtor in favour of the creditor towards a time-barred debt is itself a promise in writing signed by the person to be charged within the meaning of Section 25(3) of the Indian Contract Act, 1872, and a complaint under Section 138 of the Negotiable Instruments Act, 1881 is therefore maintainable without any further written promise.

10. Whether, in fact, any amount was due, whether the supplies are admitted and whether the presumption under Section 139 of the NI Act stands rebutted are matters of evidence which cannot be examined in a petition of this nature.

11. The petition is without merit and is dismissed. The learned Magistrate shall proceed with the complaint in accordance with law. Rule is discharged.

(R. S. KOLHATKAR, J.)

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